RX INTERVIEWS

BONUS 2022 INTERVIEW QUESTIONS

RESTRUCTURINGINTERVIEWS.COM
NEW YORK, NEW YORK

INTRODUCTION

Last year I put out a little report – that you can find in the members area – surrounding more complicated or obscure questions that came up during the 2020-21 recruiting cycle.

However, as per usual I tried not to just give you the answers in a few sentences. Instead, I tried to use these questions as an excuse to flesh out your broader understanding of restructuring (e.g., around how to *really* think about equity value for a distressed debtor).

With the 2021-22 recruiting cycle complete, I figured I'd do the same thing again this year.

Below are a mix of more complicated or obscure questions that came up during interviews this cycle at the summer analyst and associate level, along with questions that I've created myself to highlight certain concepts that I think are worth understanding.

While most of these questions are just spins on existing topics or concepts covered elsewhere in the guides (e.g., around structural subordination, accounting, etc.) it never hurts to have more practice with different wording.

Just as I mentioned at the outset of the "Bonus 2021 Guide", many of these questions will be a bit tricker or more open-ended than normal. In fact, for many of these questions the interviewer will have the expectation that you'll need some help getting through them.

So, if you initially read some of the questions below and are bewildered, don't get discouraged. Further, don't get daunted by my lengthy explanations -- the expectation will obviously not be that you're giving such all-encompassing answers!

With all that out of the way, let's start off with a fun one…

- **Let's say that Company A owns 80% of Company B and 100% of Company C. Company B has provided a guarantee to Company C (to the benefit of Company C). Company B has \$70 in EBITDA, valued at 10x, with \$500 in debt. Company C has \$50 in EBITDA, valued at 5x, and \$300 in debt.**

  Which option would give you a higher return: buying all of Company A's equity for 90 cents per share (100 shares outstanding), or buying Company C's debt (one-year, 10% coupon) for 90 cents on the dollar (you buy \$100 of notional)?

Alright, we're starting off with a bang here. This question comes curtesy of HL. However, if you're feeling a bit overwhelmed keep in mind that a) almost all interviewees are going to struggle a bit with this b) your interviewer will anticipate that you'll need a little help along the way and c) this is really just a comingled waterfall and structural subordination question, which makes it seem more complicated than it really is.

The person who got asked this question got it right – since he carefully went through the structural subordination guide in the members area – and ended up getting the offer even though he messed up a basic accounting question during one interview.

Alright, so we know we're going to eventually have to tackle how to value Company A's equity and that will require knowing what value flows down to them through their ownership in both Company B and Company C.

So, let's start with working through the valuations of both Company B and Company C…

Initially we can say Company B's EV will be $70 * 10 = $700. We're told they have $500 in debt, so therefore we know there's $200 in equity value. Company C's EV will be $50 * 5 = $250. We're told they have $300 in debt, so therefore we can say there's a de minimis amount of equity value as the debt is substantially greater than the EV (let's forget about any optionality value arguments for the equity of Company C).

Now let's think about one of our options: buying Company C's debt which is trading at 90 cents on the dollar…

While it's never ideal to have more debt than EV, remember that Company B has provided a guarantee to the benefit of Company C. So, you can think about Company C as needing to functionally utilize some of Company B's EV in order to make its own debt whole.

As a result, given the relative health of Company B, we can say with confidence that Company C's debt will return par due to this guarantee. Therefore, given that we're told we can buy the debt at ninety cents on the dollar, and that our time horizon is one year with a 10% coupon, we can say our return will just be $10 in coupon income and $10 in price appreciation divided by our purchase price of $90. Therefore, buying Company C's debt will give us a $20/$90 = 22.22% return.

So, now that we've figured out one of our options (the return on buying Company C's debt), let's turn our attention to the second option (the return on buying Company A's equity)…

Now given that Company A owns 80% of Company B and 100% of Company C – and that we're looking for Company A's equity value to figure out whether buying the 100 shares outstanding at 90 cents each is a good deal – we need to consolidate our financials here to see what kind of equity value is attributable to Company A.

Here's where we need to think a little bit more conceptually, as opposed to just rushing ahead and consolidating…

We know that Company C is underwater with their EV being substantially less than their total debt. However, Company B has provided a guarantee to Company C. As a result, for practical purposes Company C's debt is *not* underwater.

So, when thinking about what the EV of Company B and Company C *really* are, we should be reflecting the real-world economic cost associated with providing this guarantee.

Now what is the cost to Company B for providing this guarantee? Well, it's the spread between Company C's enterprise value and debt, or in other words the amount that Company C's EV needs to be "topped up" to keep it equal to its debt.

As a result, we should be saying that Company B's EV is $650 – reflecting the value leakage of $50 to Company C – while Company C's EV is $300, which reflects the fact that their total debt of $300 will be made whole due to the guarantee. This may seem like just rearranging the deck chairs a bit (it is!), but you'll see why it's important in a second…

So, if we add together the EVs of Company B and Company C we get ($650 + $300 = $950). Likewise, if we add together their debts, we get ($500 + $300 = $800).

This leaves $150 in equity value. However, we need to remember that while we own 100% of Company C, we don't own 100% of Company B! Therefore, we need to subtract minority interest (e.g., the 20% of Company B that belongs to others) to get a true reflection of the equity value attributable to Company A equity holders.

To calculate minority interest, we need to take 20% of Company B's EV and subtract it by 20% of Company B's debt. Recall that we're saying now that Company B's EV is actually $650 – not $700 – to reflect the economic cost associated with providing the guarantee to Company C. Therefore, the minority interest will be $130 – 100 = $30.

Now all we have to do is take the initial equity value we found through our consolidation of the financial statements ($150) and subtract off the minority interest ($30), which leaves us with $120.

So, getting back to the initial question, if we were to buy the 100 shares outstanding of Company A at 90 cents, that'd equal a total cost of $90. However, we've found the actual equity value of Company A to be $120. Therefore, the return would be $30 / $90 = 33.33%.

Here's another way to think about all of this. Let's forget about shifting EV from Company B to Company C and calculating minority interest. Instead, let's just straight consolidate.

So, Company A will have a combined EV of $950 ($700 + $250), combined debt of $800 ($500 + $300), and that leaves us with equity value of $150. Well, this is obviously more than the $120 we previously found. But where is this equity value of $150 coming from?

We know that there's no meaningful equity value at Company C – as we needed to use a guarantee to even make that debt whole! – so all of this $150 in equity value is coming solely from Company B, which Company A owns 80% of. Well, what's 80% of $150? $120.

Therefore, without getting into shifting EV around and calculating minority interest, we can see that intuitively that there must be $120 in equity value that's actually attributable to Company A equity holders (leading us to the same conclusion that if we buy all 100 shares outstanding for $90, this will generate a 33.33% return).

So, given the option between buying Company C's debt and buying Company A's equity, we'd choose to take Company A's equity as it provides a higher return.

Q.E.D.

- **Following up on the question above, how would you think about the downside and upside returns of investing in Company C's debt?**

In terms of downside, let's imagine that the guarantee from Company B to the benefit of Company C is voided or that market participants think, in the advent of filing, that the guarantee would be voided by the court.

This could occur due to creditors at Company B – who are incurring the economic cost of providing the guarantee – making a fraudulent conveyance argument to the court. Although this is beyond the scope of what you'd ever be asked about in an interview, the creditors would probably make the argument that the guarantee was provided for less than equivalent value (e.g., Company B got nothing worthwhile for providing this guarantee, the guarantee was only put in place to protect Company C which is wholly owned by Company A and who also controls Company B).

Anyway, the point is that maybe this guarantee isn't quite as guaranteed as we think. If this were the case, the debt of Company C would be underwater, and we'd expect the debt to trade at roughly 83 cents on the dollar ($250 of EV / 300 of Debt).

If we held for a year, getting $10 in coupons along the way, and the debt was then trading at 83 cents on the dollar this would give us a return of $10 + (-$7) / 90 = 3.33%. However, as the market consensus builds around the guarantee not being worth much, or as Company C continues to deteriorate in value, the price could trade down even further dragging us into negative return territory (but this is more speculative without knowing the financials of Company C).

The most reasonable upside scenario is less ambiguous as it would involve, as previously described, having the guarantee be enforceable (or having Company C turn things around and not need the benefit of the guarantee) and having the debt trade back to par. Therefore, the return on the upside would be $10 + ($100-90) / $90 = 22.22%.

Interestingly, in the initial interview question the debt of Company B is trading at a discount to par, but above where it would be if there was no guarantee in place. This perhaps reflects the markets wariness about investing in the debt of a company that looks like it will only return par if the guarantee that it has the benefit from stays in place. In other words, the market is pricing in some probability that the guarantee won't stick.

Alternatively, the market could be looking at Company B – for which we don't have the past and projected financials of – and are thinking that their EV will quickly deteriorate over time and perhaps their own debt will become underwater alongside Company C's (so even if the guarantee does stick, there will be less value to go around for everyone).

What should be obvious is that thinking about future trading levels is contingent on many assumptions and one ultimately needs to come up with some probability weighting of a range of potential outcomes.

The point of this question is not to give a definitive answer, but rather to sketch out how you'd think about things. Discussing how a reasonable downside would be 83 cents, based on the guarantee being voided, and the upside being that the debt returns par would be a phenomenal answer.

Note: One thing that I've regrettably not reiterated enough through these guides is that my answers to these open-ended questions will always be much more detailed than an interviewer would ever expect from you in an interview. I always use these open-ended questions as an opportunity to build out your contextual understanding – so if you're able to hit on just some of these points in your interview, or reiterate the gist of what I've written here, then you'll really impress your interviewer.

- **Following up on the question above, how would you think about the downside and upside returns of investing in Company A's equity? Would it be riskier than investing in Company C's debt?**

This is much more of a speculative question. However, undoubtably there's more risk to the equity given how sensitive it is to the valuations of Company B and Company C.

In terms of the downside, the price of equity can obviously go to zero and we can lose our entire investment. If the consolidated EV were to just go from where it is now ($950) to where the total amount of debt is ($800) then we'd be in trouble (there'd be some option value to the equity, etc. but our return still wouldn't look pretty!).

In terms of upside, obviously we aren't capped at roughly par like we are with debt. So, if either Company B or Company C were able to significantly grow – and thus expand out their equity values – then we could have much higher returns than we'd ever expect from just buying the debt of Company C.

While it's impossible to know what a reasonable upside scenario would be without Company B and Company C's financials, let's imagine that Company B and Company C have their EVs grow by 20% over the next year, which isn't *that* crazy of a growth figure. In this case, we'd end up with Company B having an EV of $840 while Company C would have an EV of $300. The equity value of Company B would be $340, and the equity value of Company C would be zero (for the sake of argument we'll ignore optionality here).

Since Company A owns 80% of Company B – and since now we don't need to do any rejiggering of enterprise value given that Company C has matching EV and debt – that means there's $272 in value for Company A equity holders. If we initially bought their 100 shares outstanding for 90 cents each, then we would have roughly doubled our money.

Obviously, what this little example shows is the sensitivity of equity at the HoldCo level to shifts in the valuations at the OpCo level when they have minimal equity cushions.

- **Imagine that we found that the expected returns – after considering the downside and upside scenarios – of buying Company C's debt and buying Company A's equity were exactly equal. If that were the case, which one would you rather buy or would you be entirely indifferent?**

When I hear this question (which, full disclosure, I made up for the purposes of this guide!) the first practical thing I think of is, well, what's our funds mandate?

Because the reality is that not all funds would even view picking between these two options as being a possibility at all. For example, if you're at a large asset manager that has a sizeable book of high yield or distressed debt, you may like the look of some OpCo bonds trading at a modest discount of ninety or whatever.

…But there's no way you'd look at Company A's equity given how incredibly sensitive it is to movements in Company B and Company C's valuations.

On the other hand, if you're at a classic distressed fund you may be open to buying up either the equity or the debt. Your only mandate constraint will be around size (e.g., is there enough debt or equity to purchase to be worth our time looking at this situation?).

If we're pretending that we have the mandate to look at either opportunity – and can do so at a size that works for us – then we'd need to think about the volatility that's informing these equivalent expected returns.

All else being equal, if you really feel that on balance – after considering the downside and upside scenarios – that the expected return of investing in either equity or debt is exactly the same, then you want to go with the option that has the lowest volatility that informs those returns.

Because the reality is, as we've discussed in the questions above, even if the expected returns are the same it will certainly be the case that the equity has a much higher upside potential and a much lower downside potential. So, there's more volatility (which I'm using as a shorthand for variance) in the return structure of equity.

Here's a simplified analogy. Imagine I tell you that you can buy $40 of equity, and I know for certain that in a month it'll either be worth exactly $20 or exactly $70, each with a 50% probability.

…Well, you'd likely buy the equity because the expected return is positive (-$20*0.5 + $30*0.5 = $5). However, there's a pretty big downside here and you wouldn't feel great if you lost $20 on this.

Now imagine I tell you that you can buy $40 of debt, and I know for certain that in a month it'll either be worth $35 (50% probability) or $55 (50% probability). You'd likewise do this trade, as the expected return is equally positive ($-5*0.5 + $15*0.5 = $5). However, you should be more eager to engage in this trade than the equity trade because while the expected return is the same, the volatility in the return structure is significantly less.

Ultimately, as an investor you're supposed to be compensated for taking risk. The fact that the equity of Company A could very reasonably decline by 50% - whereas that'd be much less likely if you bought the debt of Company C - is why the expected return profile of investing in equity *should* be higher (you're assuming more risk, you should get paid a premium for doing so!).

- **Let's say that a company sells $100 worth of products that have a cost of $50. At the same time, it also bought $150 worth of inventory. Can you walk me through the three statements?**

Alright, let's take a break from the more conceptual restructuring questions.

On the income statement, we have revenue of $100 and COGS of $50. Leaving us with $50 in pre-tax revenue. Interviewers are all over the place with using either a 20% or 40% tax rate, but let's say it's 20%. This will leave us with net income of $40.

Moving to the cash flow statement we're up by $40 initially. Remember that we've sold $50 worth of inventory, so that will be reflected as a source of cash (so, +$50). However, we've also bought $150 in inventory, which is (obviously) a use of cash. Therefore, on the cash flow statement we're down by $60.

Finally, on the balance sheet we start down by $60. However, we need to reflect the fact that we've sold $50 worth of inventory and bought $150 worth. We'll net these out and have +$100 in inventory leaving us up $40 on the asset side of the balance sheet. On the liabilities and shareholders' equity side we'll have retained earnings (flowing from net income) of $40 so we're in balance.

- **Let's say that a company has $100 in interest expense (50% PIK / 50% cash) and $50 in interest income. Can you walk through the three statements?**

On the income statement we're going to pre-tax income down by $50 and, assuming a 20% tax rate, that'll leave us with net income down by $40.

On the cash flow statement, we'll start down by $40 and then add back the $50 in PIK interest given that it's non-cash. This leaves us up by $10 on the cash flow statement overall.

Moving to the balance sheet, we have cash up by $10 on the asset side. On the shareholders' equity and liabilities side we'll have debt up by $50 (from the PIK interest) and then have retained earnings down by $40 (flowing from net income).

- **Let's say you're looking at a bank. Loans comprise the majority of the assets and they all have a 10% interest rate. Deposits comprise 80% of the capital structure and depositors get paid 5%. Forgetting about tax implications, etc. can you quickly tell me what the ROE is?**

There are many mysteries in life, and why Evercore asks this question occasionally is definitely one of them.

Anyway, it's kind of a neat question. The first thing to note is that, from the vantage point of the bank, loans are their assets and deposits are their liabilities.

So, if we say there are $100 in loans (you can pick whatever number you want) that'll mean we're bringing in $10 in interest income. Now we're told that deposits (liabilities) make up 80% of the capital structure. So based on our asset side being $100, we can say that the deposits are $80 and there is $20 in equity.

The bank needs to pay 5% on the deposits, so that's $4. Therefore, our net income is just the spread between interest income ($10) and interest expense ($4), which leaves us with a total of $6.

We've already figured out that our equity is ($20), so our ROE is 6/20 or 30%.

- **Let's say that a company purchases equipment for $100 and funds the purchase via 50% debt (10% interest rate) and 50% equity. The company has a 5x EBITDA multiple, and the equipment will have a useful life of ten years with no salvage value. Can you walk me through what happens on the three statements at the end of Year 1 including the EBITDA impact?**

So, the trick here is to recognize that we can utilize the EBITDA multiple to figure out the "economic gain" associated with this new equipment.

If we think about the basic EV calculation, what changed between before the purchase and after? Well, obviously debt and equity were utilized to raise the cash necessary to fund the purchase. So, if we simplistically say that EV = Debt + Equity – Cash, then we'll have EV = $50 + $50 – $0 (as we spent the cash immediately to fund the purchase).

Now we know that EV increased by $100, and we also know that EV/EBITDA = 5. Therefore, we can say that EBITDA increased by $20.

Alright, so now we can really get started here. We'll start with $20 on the income statement. There will be depreciation of $10 and cash interest expense of $5 ($50 * 10%). This leaves us up $5 pre-tax, and assuming a 20% tax rate we'll be up $4.

Moving to the cash flow statement, we begin up $4, add back depreciation given that it's non-cash, and end up $14 overall.

Finally, on the balance sheet we'll be up $14. On the asset side we'll reflect our equipment being reduced by $10, which leaves us up $4 overall. On the liabilities and shareholders' equity side we'll be up $4 from net income flowing into retained earnings.

- **Let's say that a company purchases PP&E for $1,000. They fund this purchase with 50% PIK debt and 50% cash. The equipment has a useful life of ten years with no salvage value. Assume that pro forma leverage is 2.5x, interest coverage is 4x, and the tax rate is 20%. Can you walk through the three statements at time zero and after the first year (include the incremental increase in EBITDA)?**

Alright, this is just a spin on the question above, but I'm combining a few different tricks together to cover almost every possible iteration of this question (since it's quite popular).

First of all, let's just cover what happens at time zero when this PP&E is purchased. There'll be nothing to do on the income statement. On the cash flow statement, you're going to have CFI down by $1,000 (to reflect the purchase) and CFF up by $500 (to reflect the debt). Therefore, the cash flow statement is down $500 (which, of course, reflects the fact that we paid for half of this $1,000 worth of equipment with cash).

On the balance sheet we'll start with cash down by $500 at the top, but then we'll have PP&E up by $1,000 to reflect this new purchase. So, the asset side will be up by $500. Turning to the liabilities and shareholders' equity side, obviously we'll have debt up initially by $500 as well. So, we're in balance.

Moving on to year one, we obviously don't have all the information we need yet. Namely, we don't know our interest expense or how much EBITDA has increased by as a result of this purchase.

The first thing to note is that the leverage ratio is Debt/EBITDA = 2.5x. We know that debt has increased by $500, which means that after we rearrange the formula we can find out that we'll have an associated increase in EBITDA of $200 as a result of using this PP&E.

Now that we've found the incremental increase in EBITDA, we can use the interest coverage ratio to back out the interest expense (interest expense = EBITDA / 4x => $50). Obviously, what this also means is that the $500 in PIK debt has an interest rate of 10%.

Now that we've found this out, let's walk through what happens after year one.

On the income statement we'll begin with EBITDA up by $200. We'll then take off the depreciation ($100) and interest expense ($50), which leaves us with $50 in pre-tax income. Assuming a 20% tax rate, this leaves us up $40.

Moving to the cash flow statement, we start within CFO up by $40. However, we need to add back depreciation ($100) and interest expense ($50) given that they're both non-cash expenses (remember that we're dealing with PIK interest here). This leaves us up $190 on the cash flow statement overall.

Finally, on the balance sheet we'll start at the top with cash being up $190. We then need to reflect PP&E going down by $100 to account for the depreciation. This leaves us up $90 overall on the asset side. Moving to the liabilities and shareholders' equity side, we'll have debt up by $50 (due to the PIK interest) and we'll have retained earnings up by $40 due to the net income from the income statement flowing into it. So, we're all in balance.

- **Let's imagine that I'm looking at buying some unsecured notes trading at 75. Through my genius analysis, I think that they'll have a recovery value of 70 and that the company will file in a year. Would it ever make sense for me to buy these?**

This is a bit of a leading question because you can probably surmise that the answer isn't just, "no, of course this makes no sense!".

Let's think about three reasons (all of which could be true at once) for why it could make sense to buy these notes.

First, we said that the company will file in a year. Since we're dealing with unsecured notes, they probably have a 6-8% coupon attached to them so if the company were to file, and get a 70 cent on the dollar recovery, our return would be that recovery in conjunction with the interest income we had pre-filing. So, before we even factor in additional considerations, it's not like this is per se an absurd money losing venture.

Second, we need to think about what our recovery value *really* is. Keep in mind that what a class will receive in "recovery value" will be in the form cash, debt, or equity (or some combination of these). In other words, what we call "recovery value" is just the economic value of the consideration (compensation) given to a certain class.

The further down the capital structure you go, the more likely it is that people are going to get some of their consideration (or all of it) in the form of equity. For example, in the case of Washington Prime Group (one of the bigger freefall Chapter 11s of 2021) the unsecured notes got around 90% of the post-reorg equity pre-dilution as consideration.

So, getting back to the example in this question, the reason why we could want to pay 75 cents on the dollar for these notes (even those we anticipated the recovery value being less than that) could be because we feel confident that our recovery value will come in the form of post-reorg equity. Maybe through my genius analysis I realized that the company, after existing chapter 11, will do much better and that our post-reorg equity will quickly go up in value as everyone realizes how fantastic the company is.

Third, when you're in certain parts of the capital structure you may have the ability to participate in the restructuring process to further enhance your returns. If you're in a secured part of the capital structure, you may have the ability to participate in the DIP (if a DIP facility is put in place), and if you're in a more junior part of the capital structure you may have the ability to participate in a rights offering (if one occurs).

What a rights offering would allow is basically for junior creditors to be able to pay the debtor more money in return for more equity. In order to entice creditors to do this, the debtor will allow them to purchase equity at (often) substantial discounts to the Plan Equity Value that's been arrived at within the Plan of Reorganization (PoR).

So, for example, we already discussed how in Washington Prime Group the unsecured notes got 90% of the post-reorg equity (prior to any dilution) as their consideration. However, they also were given the ability to participate in a rights offering. This rights offering allowed them to purchase additional post-reorg equity at a 32.5% discount to the Plan Equity Value.

Therefore, this is yet another reason why we may have been interested in buying the unsecured notes – because now we have the ability to buy even more post-reorg equity at a steep discount. Of course, this all assumes that we like the post-reorg equity of the company and think it'll increase significantly in value – if we didn't think this, then buying these unsecured notes would have been a bit nonsensical.

I've very quickly run through what rights offerings are here because no one will ever bring this up in an interview (and no one would expect you to bring them up!). However, if you want to go read a far too lengthy post on what rights offerings are, how they're structured, how they cause dilution, and how to calculate the returns (as someone participating in one or providing a backstop), then you can go read the thousands of words I wrote on it here: https://restructuringinterviews.com/blogs/restructuring/rights-offering

- **Let's imagine that you have both a secured and unsecured bond trading at 70 cents on the dollar. What does that tell you?**

This should strike you as being a pretty odd scenario (because it would be!).

So, the first thing we should do is take a step back and ask ourselves, "What informs the level at which stressed or distressed debt trades?"

Obviously, part of what I've tried to do through these more advanced questions is help you understand that what informs trading levels can be quite nuanced! However, at its core the primary driver boils down to what you think the recovery value will be in some abstract sense.

If we take this line of thinking a step further and think in terms of what happens in a chapter 11 case, what kinds of different debt would end up being worth the same amount from a recovery value perspective? The answer is those that are bucketed within the same class. Because remember that each piece of debt in a complex capital structure isn't necessarily in its own unique class – similar claims against a debtor are lumped together into classes and receive the same recovery value.

So, if we see two pieces of debt that should be trading at different levels – because one piece of debt is secured and so should be backed by specific collateral – this should signal to us that people think these pieces of debt actually have the same level of claim against the company or, in other words, that in the advent of filing they'd be placed in the same class.

This must mean that what the secured and unsecured notes trading at the same level is *really* telling us is that the collateral backing the secured debt is not deemed to be worth anything. Because if a secured piece of debt has collateral that's worth less than the claim amount, then the differential will be considered a deficiency claim and be treated as a general unsecured claim.

So, the reason for these two pieces of debt trading at exactly the same level would almost certainly be due to them both having the same claim against the debtor, which would mean they both would have unsecured claims as a result of the collateral the secured lender lent against being deemed worthless (maybe their debt was secured by some proprietary equipment that people realized was faulty). Whatever the rationale is, the end result is that the entire claim of the secured debt would be a deficiency claim and this is why it trades at the same level as the unsecured debt.

- **Let's say you start a business with $1,000 in cash (raised via 50% debt and 50% equity). What's the EV at time zero?**

These types of EV calculation questions are getting a bit more popular. I think they tend to trip people up a little bit due to their simplicity (just remember the formula).

Because we're keeping the cash within the company (e.g., we haven't spent it on anything yet) our EV will be zero.

EV = $500 + $500 - $1000 = 0

- **Now let's say we spent $800 on PP&E?**

Here we're spending cash, so our cash balance will go down and we'll end up having some EV.

EV = $500 + $500 - $200 = $800

- **Now let's say you raise $400 in new equity to pay down $400 in debt?**

We're going to use this equity raise to pay down debt, so in the end our EV won't change from the answer in the prior question (we're just moving thing around).

EV = $100 + $900 - $200 = $800

- **Let's say you have EBITDA of $50 and comps trade at 6x. You have an undrawn revolver of $100, $200 in secured debt, and $200 in unsecured debt. Where does each trade?**

PJT loves asking waterfalls with an undrawn revolver to spice things up a bit. Just keep in mind that if a revolver is undrawn, it's like having a credit card that hasn't been utilized.

So, for waterfall purposes we don't need to pay back the revolver, since it hasn't been drawn to begin with.

So, our EV here is $300, and we'd expect secured debt to trade around par and unsecured debt to trade around fifty cents on the dollar.

Note: In the "2021 Bonus Guide" I go into much more depth about how you should be thinking about waterfall questions (e.g., how to think about equity value when debt looks like it'll be impaired, etc.). I'm just adding this question in here purely to address the undrawn revolver nuance.

- **Let's say you have EBITDA of $50 and comps trade at 6x. You have secured debt of $200, backed by $150 of collateral, and $200 in unsecured debt. What do you think the recovery of each will roughly be?**

Just like the question above, this is a classic waterfall question with a wrinkle thrown in.

So, we have an EV of $300. Traditionally we would say that this entirely covers the secured debt, giving them a full recovery, and leaves $100 left over for the unsecureds, which would then recover around fifty cents on the dollar. However, note that the secured debt is not fully collateralized as we're told the collateral value is only worth $150.

What this means is that there will be a deficiency claim of $50 ($200-$150) that will be treated as an unsecured claim. So, when doing the waterfall we would say that $150 of the secureds would get a full recovery, and this would leave $150 in value left over that needs to be divided up between both the original unsecured debt and the deficiency claim.

So, the recovery of the unsecured debt will just be sixty cents on the dollar or $120. However, the recovery of the secured debt will be the sum of the recovery on the collateralized portion of the secured debt and the recovery on the deficiency claim, which would be $150 + $30 = $180. Therefore, in total the secured debt recovers ninety cents on the dollar ($180 / $200).

What are some ways that a company can preserve cash if it's facing financial distress?

Here's another classic PJT question. What they'll want you to do is go through as many possible options as you can think of.

They're looking for a minimum of 15 to 20 options, so there's no need to give some lengthy explanation for each!

Just think about some basic ways to protect liquidity from a financial engineering perspective, and then start going through more operational things by thinking about what is a use of cash and what is a source of cash (e.g., thinking about every line item on the income statement and in CFO).

Don't worry about every example you give needing to really move the needle on the company's liquidity position. Just give them a rapid-fire list. Here are a few quick examples, although you can come up with more:

1) Fully draw down the revolver.
2) Toggle to PIK interest from cash interest where possible.
3) Do sale-leasebacks.
4) Sell off unused or non-critical PP&E.
5) Shift management comp to be more stock-based rather than cash-based.
6) Reduce the inventory being held at one time (e.g., move to a just-in-time style model).
7) Extend out accounts payable as far as possible.
8) Bill customers or clients more frequently.
9) Review accounts receivable that have been outstanding for quite some time, like 90 days, and offer to provide a discount on what's owed if the customer or client pays now.
10) Offer cash discounts to customers for paying early or ask for down payments.
11) Move to a consignment-style model for some inventory, if possible.
12) Renegotiate lease expense down or delay payments (perhaps arguing to the landlord that if they don't negotiate pre-filing, you will just reject the lease in court).
13) Reduce down prepaid salaries (if any exist).
14) Try to boost unearned revenue, if possible, perhaps by offering discounts.
15) Reduce SG&A expenses by cutting back anything non-critical.
16) Forgo new capex unless strictly necessary.
17) Extend maintenance cycles on equipment or try to renegotiate third-party contracts related to maintenance.
18) Move some employee comp to bonus and/or commission structure where possible.
19) Let go of non-essential employees or reduce their hours.
20) Reduce or eliminate certain benefit packages (perhaps in conjunction with a bonus scheme to try to minimize attrition).
21) Stop all dividend and share buyback programs.

Let's say we're looking at a company and they have negative shareholders' equity. What could give rise to this?

There's nothing per se wrong with having negative shareholders' equity. It can be negative as a result of heavy dividend use, accumulated losses, dividend recaps, or even just an aggressive share buyback program (since this will be reflected on the treasury stock line item within SE, which will be negative). Keep in mind that just because SE is negative, that doesn't say anything about equity value (market cap).

Given the current economy, if a company wants to boost EPS what method should they use for reporting inventory (LIFO or FIFO)? What about if they want to boost cash flow?

As you likely already know, when you record revenue using the FIFO method you tie it to the inventory that was acquired first. So, given the current economic situation – with reasonably high inflation, supply chain issues, etc. – it's reasonable to assume that the inventory bought earliest will be the cheapest.

So, if a company wants to boost their EPS, then they should use FIFO. However, if they want to boost cash flow then they should be using LIFO (which will result in lower earnings, given the higher COGS, but higher CFO overall due to inventory declining by a larger amount to reflect the higher cost of this inventory).

What will result in a higher multiple, using capital or operating leases? If we want to try to increase EBITDA, what would be the downsides to using capital leases?

I'm quite sure we've already covered this elsewhere in the guides, but since operating leases are pure expenses they'll lower EBITDA, which in turn will result in a higher EV/EBITDA multiple.

The downside of capital leases is that they require you to be tethered to the asset financially for a long duration and thus don't allow the kind of flexibility that operating leases provide. To be considered a capital lease, the lease must involve a transfer of ownership after the lease ends, a discount purchase option after the lease ends, a duration in excess of 75% of the asset's useful life, or lease payments that exceed 90% of the asset's fair value in PV terms.

Let's say you have a company with $30 of EBITDA and comps trade at 6x. It has $100 of secured debt and $100 of unsecured debt. Suppose the company can handle $100 of debt post-reorg. How do the current debt holders get paid back? What if the company can only handle $75 of debt post-reorg?

This kind of waterfall question will very rarely come up in an interview, but I figured we'd go over it. There's no objectively right answer here, but it highlights an important concept that's worth delving into.

As we discussed in a prior question, the way in which a creditor realizes their "recovery value" can come in the form of cash, new debt, or post-reorg equity. But traditionally all waterfall questions glaze over talking about the consideration that comprises what we call “recovery value” to avoid muddying the waters.

So, let’s start by just figuring out what the recovery values will be here and worry about what the consideration will be thereafter. Obviously, we have an EV of $180. As a result, we can say that secured debt will be fully covered and the unsecureds will get an 80% recovery.

If the post-reorg debtor has a debt capacity of $100, then the most likely scenario is that the post-reorg debt raised of $100 will either result in the secureds getting $100 in cash or being issued the $100 in new debt on a non-cash basis (meaning they're given this new debt as consideration for their existing claim) or a combination of the two options. The unsecureds will then get the post-reorg equity (remember that this post-reorg equity will be worth $180-100 = $80).

If the debtor is only going to support $75 in post-reorg debt, then the same principle applies (except now the EV is comprised of more equity value, as we’re reducing down the amount of debt the post-reorg debtor will have). So secureds will get a mix of cash (or new debt on a non-cash basis) and some equity consideration, while unsecureds will get equity as they did beforehand (they’ll own a smaller piece of the post-reorg debtor, but the value of their equity will be $80 as in the prior scenario).

Note: Generally, more secured tranches are going to get more “stable” forms of consideration for their recovery value (cash or debt on similar terms to their prior debt). More junior creditors are more likely to get equity as their consideration. However, there aren’t hard and fast rules here. This is why I referenced that the kind of breakdown above is a reasonable guess as to what you’d expect to see happen.

To try to solidify this all, let’s quickly go over a random real-world example like Belk which did a pre-pack chapter 11 in early 2021. Holders of the ABL (revolver) got back full recovery. However, the ABL holders could pick if they wanted their recovery in the form of cash or in the form of their pro-rata share of the new post-reorg ABL. Prepetition 1L term loan holders didn't get any cash -- they got a recovery of 55% in the form of new debt (first lien second-out or FLSO). Meanwhile, prepetition 2L term loan holders had a more mixed recovery. If you owned $100 of the preparation 2L you would have received $15 of the new FLSO, $20 of the new second-lien term loan (which is behind the FLSO), and your pro-rata share of 33.49% of post-reorg equity.

Anyway, as you can tell, in what form a creditor's "recovery" comes can vary. This is why, as an investor, you don’t just care about what your recovery value is, you care about what form it comes in.

If you’re ever asked a question like this the interviewer would just be looking for the simplest and cleanest answer. However, it’d be impressive to caveat your answer by saying, "Well I know recovery consideration can be very mixed - as I read about in x and y deal - but I suppose I would say..." and then you can give the answer above.

Note: Just to get a bit more abstract, in court during a chapter 11 process a Plan Value will be derived, the amount of debt the post-reorg debtor will have post-reorg is determined (based on thinking about debt capacity and the market's willingness to lend the post-reorg debtor new money), and then you can back out what the hypothetical equity value of the post-reorg debtor is (so how much the equity you're being given as consideration as a junior creditor is based on that Plan Equity Value). This obviously isn't a science -- valuation fights happen all the time because it's incredibly difficult to truly say what the post-reorg debtor is "worth", how much debt the debtor can and should take on, and therefore what the equity your giving to junior creditors is worth.

- **Let's imagine you have three bonds: A, B, and C. All have a 4% coupon and all are trading at 95 cents on the dollar. Bond A matures in 20 years, Bond B matures in 20 years, and Bond C matures in 50 years. The YTMs are 4.5% for Bond A, 3.5% for Bond B, and 4.5% for Bond C. Do you see anything wrong with these bonds?**

Alright, there are a number of things that are obviously wrong here.

First, Bond A and Bond C shouldn't have the same YTM given the differences in their maturities (Bond C is longer-dated, so should have a lower YTM). Second, Bond A and Bond B are actually the same, so shouldn't be trading at different YTMs. Third, Bond B's YTM is clearly just, uh, wrong because when a bond is trading at a discount the yield on the bond will obviously be higher than coupon rate (which is not the case in the example!).

- **Let's say we have a bond trading at 80 with a 10% coupon and four years to maturity. Assuming we know with certainty that the bond will return par, can you tell me the YTM without using the estimated YTM formula?**

This question comes up occasionally if your interviewer wants to see if you have a more intuitive understanding of what's meant by yield-to-maturity – or, put another way, if you have an intuitive understanding of what really drives it.

You can think about a bond trading below par as having its YTM being driven by two separate components: yield coming from the coupons clipped, and yield coming from the price appreciation realized. The former can be captured by the current yield (C / P) and the latter can be captured by taking the price appreciation (FV – Price) and dividing it by the number years until maturity.

So, the current yield here will just be 10 / 80 or 12.5%. And, since we've been told that the bond will return par with certainty, we know there will be $20 in price appreciation realized at maturity in four years. Therefore, we can think about this (since we're just doing a back-of-the-envelope calculation here) as giving us 5.0% in yield pick-up per year.

Putting this all together, our estimated YTM will be 12.5% + 5.0% = 17.5% which is very close to what the actual YTM happens to be.

As mentioned, if you're asked this question it's because your interviewer wants to check your intuitive understanding of YTM as a concept. So, when asked this question you shouldn't just do some quick mental math and fire back the answer. Instead, you should take a minute to walk through finding the yield contribution from each component.

- **Let's say we have a bond trading at 80 with a 10% coupon and four years to maturity. Assuming we hold this bond until maturity, and we know that the bond will return par with certainty, can you tell me the return?**

Here we have an analogous situation to the one above: we have a bond trading below par and, for whatever reason, we're absolutely confident we'll get back par at maturity.

Theoretically, since we're holding this bond until maturity, we could just say that the return is going to more-or-less be our YTM (although this makes a few assumptions, that rarely pan out in the real world, like that we can reinvest our coupons at the same YTM rate).

But let's pretend your interviewer – perhaps in a prickly state – doesn't want you doing any YTM-related calculations. Your interviewer tells you they want a simpler explanation. In this case, you can approximate your return (IRR) by just thinking about the cash inflows and cash outflows that are occurring.

So, in this example, you know you'll have spent $80 to buy the bond and that, in the end, you'll have gotten back $140 ($40 in coupons, $100 in principal).

This gives you a Multiple on Invested Capital (MOIC) of 1.75x. If we then subtract by one and divide the result by the number of years until maturity, we'll get a rough approximation of our return ((1.75 – 1) / 4) = 18.8%.

This approach obviously ignores time value of money (something pretty important when thinking about your return profile!) but it's a quick and dirty way to get a feel for the level of return without thinking through the lens of yield or breaking out Excel.

Here's an illustrative breakdown of this question, along with the last question we tackled where we found YTM in a more intuitive way (without using the estimated YTM formula)…

	Year 1	Year 2	Year 3	Year 4
Jan-23	**Jan-24**	**Jan-25**	**Jan-26**	**Jan-27**
(80.0)	10.0	10.0	10.0	110.0

MOIC	**1.75x**
Estimated IRR	**18.8%**
Actual IRR	**17.3%**

Current Yield	**12.5%**
Spread Yield Pickup	**5.0%**
Estimated YTM	**17.5%**

What does beta really mean? What type of security would have a beta of zero? What about a beta of 1? What about a beta of 2? What about a beta of -1?

The simplest explanation of beta is just that it's a measure of a security's volatility (using the layman's definition of vol) relative to a given market (e.g., the S&P 500).

But I think the best way to think about beta is that it's really just a measure of the co-movement, or lack thereof, of a security relative to something else (usually a broad index).

So, a beta of one simply means that a security has the same degree of co-movement as the market overall; as the market moves, so too does the security. Therefore, if you were to buy an index fund meant to mirror the moves of a given market, like the S&P 500, you'd want the beta of that index fund to be 1 (e.g., SPDR S&P 500 ETF, SPY, has a beta of one).

If you were to buy a high-growth stock that had a beta of two, then you'd expect that if the market is up 5% the stock would, on average, be up 10% and if the market is down 5% that the stock would, on average, be down 10%.

The kind of security that'd have a beta of more-or-less zero would be cash. If you get a prickly interviewer who wants you to be more specific and give an actual security, then say some kind of money market or short-duration fund. For example, the equity beta of Blackrock's Ultra Short-Term Bond ETF is 0.02.

Finally, the kind of security that'd have a beta of -1 would just be an inverse ETF of the market you're dealing with. For example, the ProShares Short S&P 500 (SH) has a beta of -0.93. It's hard for levered and inverse ETFs to get their beta perfectly attuned given their need to constantly reweigh their holdings, etc. But an (unlevered) inverse ETF would reliably get you as close to a -1 beta as you're going to get.

Let's say we have an ABL of $100 that's currently secured by $120 worth of Eligible Assets (accounts receivable and inventory). The borrowing base is equal to 75% of Eligible Assets. Thus far, there's already been $40 drawn on the revolver, there's $10 worth of letters of credit outstanding, there's $30 of cash on the balance sheet, and there's $10 in restricted cash. Given all this, what's the company's liquidity?

Alright, so we're told that we have an ABL of $100, which we should read as meaning that we have an ABL with a maximum amount that can be drawn of $100. The ABL is backed by some liquid assets, but lenders recognize that liquid assets can easily come and go. Consequently, lenders always want to make sure that not only are there sufficient assets backing up their lending commitment, but also that there's a bit of cushion so that a sharp and sudden fall in the value of these assets doesn't lead to the ABL being underwater.

This protection is provided by utilizing a borrowing base, which is some dollar figure that's determined by taking the amount of assets that are currently backing the ABL multiplied by a given percent (in this example it's 75%). Routinely lenders will "redetermine" the borrowing base, which just means that they will reassess the assets backing the ABL and then set the borrowing base value up or down accordingly.

So, when you hear that a company has an ABL of $100, what you should think is that some lenders have committed to providing the lender up to $100 so long as they determine there are sufficient assets available to lend against. If there aren't, the borrowing base will be redetermined down and the amount that is available for the company to draw on will be this lower redetermined amount.

Anyway, back to the question. We have an ABL with a maximum commitment amount of $100, but it's currently backed by just $120 of Eligible Assets. Given that the borrowing base is equal to 75% of Eligible Assets, this means that the actual amount the company can draw on their revolver is $90. We've also been told that the company has already drawn $40, so that leaves us with $50 worth of availability on the revolver.

So, we have $50 of liquidity from our revolver, but we have letters of credit outstanding of $10 that will further reduce our liquidity. Further, while we have cash on the balance sheet of $30, there is $10 of restricted cash (basically cash that's been earmarked for other purposes and that must be set aside). Therefore, we should only consider $20 of cash to be accretive to the company's overall liquidity position.

Therefore, the liquidity of the company is equal to the revolver availability ($50), minus the letters of credit outstanding ($10), plus the cash on hand that isn't restricted ($20). So, the company's total liquidity position is $60.

- **What impact do you think the heightened inflation we're seeing right now will have on restructuring activity? Are there particular industries that you think will have many debtors needing to restructure?**

Note: I wrote a post more recently on how higher rates will likely inform the next restructuring cycle here: https://restructuringinterviews.com/blogs/restructuring/next-restructuring-cycle

Note: I've also started including some good sell-side research in the members area to keep you up-to-date given how much macro considerations are starting to impact rx.

Note: Instead of giving a short little answer here, below are some more general thoughts to consider that hopefully you find interesting. (This was written in the spring of 2022).

As inflation accelerates at a pace not seen in the past forty years and equity markets continue to whipsaw, it's worth thinking about what the ramifications will be for restructuring activity and the world of distress more broadly.

Link: https://www.bloomberg.com/news/articles/2022-04-12/u-s-inflation-quickens-to-8-5-ratcheting-up-pressure-on-fed

My underlying assumption is that if you were to ask most people in finance whether they'd expect greater restructuring activity and generally distressed situations to arise in an inflationary environment they would say that this is obviously true and that an impact would be seen quite quickly.

Directionally, this strikes me as being correct. But it likewise strikes me that persistently high levels of inflation, matched by rising yields, won't result in as immediate and large a rebound in restructuring activity as many think. Further, it will require a shift in mindset regarding what options are really on the table for right-sizing debtors and who to keep your eye on when doing distressed screens.

To that end, let's briefly cover some ways that inflation can cause an uptick in restructuring activity (one related to dealing with maturity walls, one related to general liquidity).

Dealing with Maturity Walls in an Inflationary Environment

Over the past nearly two years we've had unprecedentedly tight credit markets matched by a massive inflow of capital to private credit and direct lending funds. Predictably, as everyone chased whatever modicum of yield they could get, many out-of-court and in-court situations resulted in debtors maintaining high leverage, while also getting the benefit of looser credit docs and lower cash interest payments.

In fact, you have cases like Pennsylvania REIT that emerged from chapter 11 in December of 2020 with a *higher* level of leverage than they had pre-filing. SVP – that ended up becoming the majority owner of another REIT, Washington Prime Group, through their chapter 11 process in 2021 – held a relatively small secured stake in PREIT and initially objected to their PoR saying it lacked feasibility and would set them up for having to file again shortly (which seems prescient given that PREIT just recently issued a going-concern warning!).

While more nuanced due to the settlement issue involved, Mallinckrodt will also emerge from chapter 11 with slightly more leverage than it went in with based on their current Plan.

Anyway, what we've seen over the past few months is the beginning of a reversal in high yield and distressed debt spreads. For example, CCC-rated spreads have widened ~150 basis points since the beginning of the year (remember this is the spread off the treasuries curve, so the actual yield on distressed paper has risen sharply when accounting for the rise in treasuries in conjunction with the widening spread).

But what's more interesting than what we've seen in secondary market pricing is what's happening in the primary market.

Just $900m of high yield debt priced last week, bringing the total for the first three weeks of April to just $6b. This is the slowest pace of pricing since April 2008. Further, consensus forecasts for high yield pricing this year are continually being slashed and now stand at around ~$250b (whereas $450b priced a year ago with yields on issuance being at a record low of ~4.8%). What is pricing right now - like the unsecured notes tied to the buyout of Oldcastle - is being done at a steep OID with a yield of 11% (proving that even when things are getting priced, they aren't getting priced well).

This is all compounded by dealer inventories being incredibly low and with dealers actually being net short high yield. The wariness of banks to hold rate-sensitive paper is also reflected in more general measures like HYG, which has seen outflows of more than a third from its peak (it's now back to early 2019 levels).

Link: https://www.bloomberg.com/news/articles/2022-04-28/corporate-bonds-see-wild-swings-as-bank-inventories-shrink

Anyway, the point is that no one likes to try to catch a falling knife, and right now we're starting to see the signs that stressed (or distressed) debtors are no longer going to be able to push back maturity walls as easily as they have over the past few years.

What we'll likely see moving forward is out-of-court and in-court deals that involve substantially more equitization, higher yield on any new money debt, more aggressive tactics by creditors via looking to do non-pro-rata uptiers or asset transfers, and potentially the return of tighter term sheets (although my personal view is that we're in a new normal when it comes to term sheets – everyone just cares more about initial pricing).

Where you'd expect to see this first play out is with struggling sponsor-backed companies, which is what we're now seeing with a few different debtors. For example, right now there's a battle brewing over Envision Healthcare – backed by KKR and being advised by PJT – over how it'll move forward even though it has a reasonable liquidity position currently. PIMCO is looking to transfer assets to an unrestricted sub to lend against, which existing lenders are (predictably!) not thrilled about the prospect of (sending assets to an unrestricted sub is explained in the Serta case study in the members area).

Likewise, with Service King – backed by Blackstone, being advised by PJT on the debtor-side and with HL and Evercore advising two different groups on the creditor-side – it looks like we're going to see an out-of-court deal with substantial equitization and a bit of new money placed.

Ultimately, deals still need to get done, credit funds need to deploy cash, and banks need to make markets. However, to use a very Bloomberg-daytime-television cliché, with inflation starting to bite everyone has suddenly adopted a much more defensive posture. No one likes holding a sizeable, not overly liquid, piece of a debt priced at a yield of 5% that's now at 8% and rising.

Dealing with Working Capital Pressure and the Idiosyncratic Nature of Inflation

As we've observed over the past year, inflation doesn't touch every industry equally and likewise it doesn't affect the underlying economics of every company in a given industry equally (see: Talen Energy and their large hedging losses).

For example, most distressed investors will have some healthcare providers prominent on their screens right now -- including names like Envision Healthcare, TeamHealth, Smile Direct Club, and Air Methods.

Recently healthcare providers have been squeezed not only by higher wage pressures than many other industries – for understandable reasons, given the strain on front-line medical workers over the past few years – but also by the rapid uptick in pricing for medical equipment. Further, some healthcare providers also face the uncertainty surrounding the *No Surprises Act*, which is meant to protect consumers from unanticipated out-of-network costs (although how it'll actually be implemented is still somewhat uncertain).

For companies that don't have the capacity to manage down their working capital requirements and that don't have the capacity to pass on higher input costs to consumers, positive free cash flow is quickly turning into negative free cash flow and is beginning to put a strain on liquidity. This is only exacerbated in industries that have some amount of regulation that stymies their ability to price in a somewhat more dynamic or fluid way.

This obviously makes the ability to push back maturity walls when needed more difficult and is further compounded by suddenly being in a tighter credit environment as everyone is concerned about taking on new debt that immediately trades down as yields continue to rise. This is why you're seeing some sponsor-backed companies that still have significant liquidity, like Envision, trying to be a bit more proactive in extending out their runway by working with creditors earlier rather than later.

Should we continue to have persistently high inflation, there likely will be more idiosyncrasy in what companies end up becoming distressed. So, instead of seeing certain industries dominate this upcoming cycle (like oil and gas did in the mid-2010s and retail did in the late-2010s) we'll end up seeing companies across industries that have similar structural issues (e.g., companies that that have commoditized products that traditionally only compete on price, companies that have had their working capital blown out by a rapid rise in a given commodity or input cost, and, of course, lots of highly levered sponsor-backed companies).

Note: One thing not mentioned above that is an obvious liquidity drain involves the rising cost of floating rate debt as rates rise to combat inflation. Due to most term loans having a floor of 1%, we're just now starting to see this have an impact. While LIBOR / SOFR will need to go significantly higher to have a meaningful impact on the liquidity of even quite distressed debtors, it's something to be mindful of.

Summary

Through 2020 we not only saw a large pull forward of restructuring activity, but through the latter half of 2020 and throughout 2021 we also saw quite dubious debtors being able to opportunistically refi upcoming maturities to take advantage of the unprecedentedly tight credit markets.

However, it's important not to overstate how many maturity walls have been pushed back as every year sees a large swath of maturities coming due and the current inflationary environment will undoubtably have an impact on those.

It strikes me that the impact of inflation on restructuring will be much less immediate than many think and we'll likely see more pre-emptive out-of-court solutions or pre-packs being explored as debtors recognize well in advance that they need to act in the face of bleeding liquidity and a likely inability to refi maturities coming due given the kinds of terms the market is now demanding.

If you were forced to have to say how inflation is going to affect stressed and distressed debtors moving forward in one sentence, I would say that it'll simply reduce down a debtor's debt capacity. This will necessitate debtors needing to slim down much more during a restructuring than they have over the past few years. Practically, this means more of the consideration in a restructuring that creditors get – whether in-court or out-of-court – will need to be equity to lighten the leverage of reorganized debtors. Further, it will probably mean that creditors will be looking for more floating rate debt as opposed to fixed rate whenever possible (so they can be somewhat insulated from potential rate rises), and creditors will be more apt to engage in aggressive inter-creditor battles moving forward.

With all this being said, you can never discount that we could be in for some cooling of inflation expectations sooner rather than later. With recent news of somewhat lackluster economic growth and a Fed that seems at least rhetorically committed to getting back to a neutral rate no matter what, we could see cracks in both economic growth and inflation sooner than expected. Of course, this is showing up – depending on your interpretation – in how flat 2s10s is right now. If we do see cracks in inflation, even if it comes along with modest cracks in economic growth, there would be significant opportunities in the secondary market. With some debt on the secondary market trading at substantial discounts due to the aggressive run up in yields recently, we would be in for a substantial price rebound if near term rate expectations were to suddenly reverse.

However, what many with cash to deploy on the sidelines are still worried about is the potential for air pockets to develop in the high yield and distressed secondary market that could cause a sudden gaping down in pricing due to the lack of liquidity in markets at present. Just how quickly liquidity has been drained has taken many by surprise.

Anyway, these are just a few thoughts that are worth mulling over. If you enjoy thinking and reading about more general economic issues, I've been thinking quite a bit about a Fed working paper by Jeremy Rudd titled, "Why Do We Think That Inflation Expectations Matter for Inflation? (And Should We?)" that was published last year. Pair this with the 2001 Fed paper titled, "Does Stock Market Wealth Matter for Consumption?" by Dynan and Maki that tries to tease out the impact on household consumption from the rapid rise in equity prices seen in the late 90s.

Paper #1: https://www.federalreserve.gov/econres/feds/files/2021062pap.pdf

Paper #2: https://www.federalreserve.gov/pubs/feds/2001/200123/200123pap.pdf

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Well, there you have it! As always, I hope I've been able to make at least some of the more open-ended questions here interesting to go through.

As I get some spare time – insofar as any exists – I'll try to put out another little guide dealing with some case studies.